

S&P Global Flash Germany PMI®

German PMI climbs back into growth territory in July, driven by expansion in manufacturing production

July 2026

Flash Germany PMI Composite Output Index: 51.2 (Jun: 49.5). 4-month high.

Flash Germany Services PMI Business Activity Index: 49.6 (Jun: 48.6). 4-month high.

Flash Germany Manufacturing Output Index: 54.7 (Jun: 51.6). 53-month high.

Flash Germany Manufacturing PMI: 52.2 (Jun: 50.3). 4-month high.



July saw the German economy return to expansion territory for the first time in four months, driven by a marked upturn in manufacturing production, according to the latest 'flash' S&P Global PMI® survey. Growth was supported by stronger demand for goods and services, including a renewed increase in new export orders. Firms were slightly more optimistic about the year-ahead outlook for activity, which was reflected in a slowdown in the pace of job losses.

As for prices, there was a slightly faster rise in input costs at the start of the third quarter, owing to increased pressures facing services firms. Average prices charged for goods and services meanwhile rose at the slowest rate for four months, albeit one that was still much quicker than that seen in February immediately before the outbreak of the Middle East conflict.

The S&P Global Flash Germany Composite PMI Output Index climbed to 51.2 in July, up from 49.5 in June and registering above the 50.0 no-change mark for the first time in four months. The latest reading was indicative of a modest rate of expansion, coming in below its long-run average of 52.6. Growth was centred on the manufacturing sector, where output rose to the greatest extent for almost four-and-a-half years (output index at 54.7), amid reports higher order intakes, greater capacity utilisation and frontloading effects. Activity in the service sector meanwhile came close to stabilising (index at 49.6), registering only a marginal decline that was the weakest in the current four-month sequence of contraction.

Overall new business rose for the first time since February at the start of the third quarter, reflecting a renewed – albeit marginal – increase in demand in the service sector alongside faster growth in manufacturing new orders.

Comment

Phil Smith, Economics Associate Director at S&P Global Market Intelligence:

"The German economy made a positive start to the third quarter, with the Composite PMI returning to growth territory after having signalled a three-month spell of contraction following the outbreak of war in the Middle East. However, given the escalating hostilities in the region in the past week or so, which have put renewed upward pressure on global energy prices, the path to a sustainable recovery still seems very much uncertain.

"Manufacturing enjoyed a bumper month of production growth in July, recording its strongest rise in output in nearly four-and-a-half years. The sector was supported by increased new orders, particularly from abroad, with a slowdown in cost inflation perhaps providing some reprieve too.

"For services, business activity is at least showing signs of stabilising, helped by a first rise in demand in the sector for five months and improved confidence across the economy. However, services firms faced stronger cost pressures in July, likely partly due to the expiry of the temporary tax reduction on fuel. With oil prices on the rise again, it looks like we could be set for a period of renewed inflationary pressures."

PMI®

by S&P Global

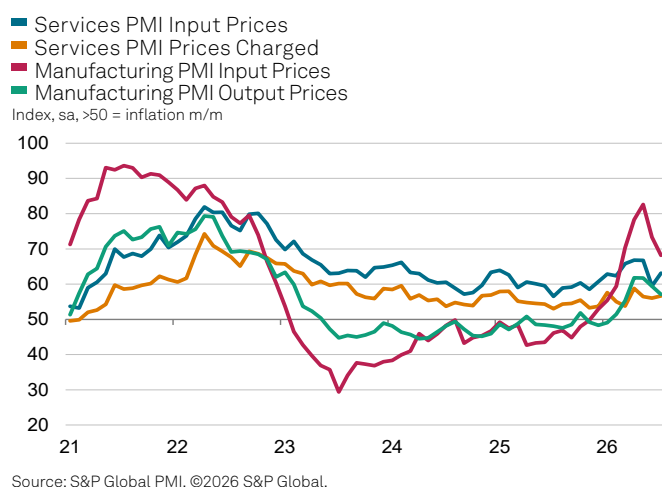
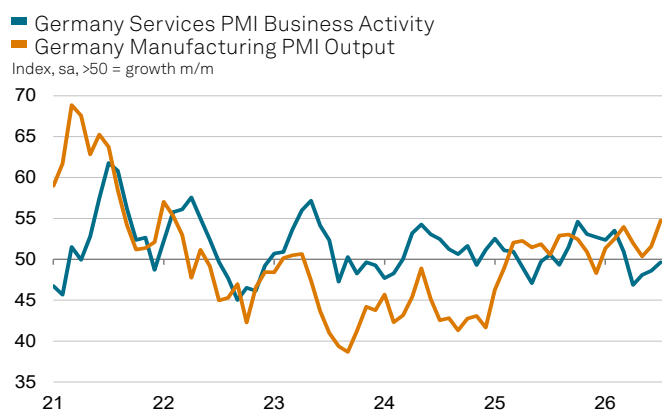
Stronger goods export sales was the principal driver of the upturn, with manufacturers recording the fastest rise in new orders from abroad since February 2022.

Despite firms recording increased demand for goods and services, there was a continued lack of pressure on business capacity, as indicated a further broad-based reduction in backlogs of work. The pace at which outstanding business decreased did, however, ease to the weakest in four months. Similarly, whilst firms generally maintained a preference for lower workforce numbers, the rate of job losses eased in July, to show the softest reduction in employment since December last year.

The slowdown in staff retrenchment was also consistent with an improvement in firms' expectations for activity in the coming year to a five-month high. Confidence strengthened in both monitored sectors, but most notably in services, where it moved back above its long-run average. Sentiment among manufacturers remained subdued by historical standards, however.

Turning to prices, the latest survey results indicated a slight reacceleration in the rate of input cost inflation, up from a four-month low in June and taking it further above its long-run trend. The uptick was driven by the service sector, where higher fuel prices were mentioned alongside persistent wages pressure, with manufacturers' purchase prices rising at the slowest pace for five months (though still steeply overall).

The rate of output charge inflation meanwhile remained elevated but eased further from April's recent peak, as less aggressive price increases among manufacturers offset a slightly faster rise in charges set by services firms.



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Methodology

Final July data are published on 3 August for manufacturing and 5 August for services and composite indicators.

The S&P Global Flash Germany Composite PMI® is compiled by S&P Global from responses to questionnaires sent to survey panels of around 400 manufacturers and 400 service providers. The panels are each stratified by detailed sector and company workforce size, based on contributions to GDP. The services sector is defined as consumer (excluding retail), transport, information, communication, finance, insurance, real estate and business services.

Survey responses are collected in the second half of each month and indicate the direction of change compared to the previous month. The following variables are monitored:

Manufacturing: Output, new orders, new export orders, backlogs of work, stocks of finished goods, employment, quantity of purchases, suppliers' delivery times, stocks of purchases, input prices, output prices, future output.

Services: Business activity, new business, new export business, outstanding business, employment, input prices, prices charged, future activity.

A diffusion index is calculated for each manufacturing and services variable. The index is the sum of the percentage of 'higher' responses and half the percentage of 'unchanged' responses. The indices vary between 0 and 100, with a reading above 50 indicating an overall increase compared to the previous month, and below 50 an overall decrease. The indices are then seasonally adjusted.

Composite indices for are calculated by weighting together comparable manufacturing and services indices using official manufacturing and services annual value added.

The headline figure is the Composite Output Index. This is a weighted average of the Manufacturing Output Index and the Services Business Activity Index. It may be referred to as the 'Composite PMI' but is not comparable with the headline Manufacturing PMI, which is a weighted average of five manufacturing indices (including the Manufacturing Output Index).

The headline manufacturing figure is the Manufacturing Purchasing Managers' Index™ (PMI®). The PMI is a weighted average of the following five indices: New Orders (30%), Output (25%), Employment (20%), Suppliers' Delivery Times (15%) and Stocks of Purchases (10%). For the PMI calculation the Suppliers' Delivery Times Index is inverted so that it moves in a comparable direction to the other indices.

The headline services figure is the Services Business Activity Index. This is a diffusion index calculated from a single question that asks for changes in the volume of business activity compared with one month previously. The Business Activity Index is comparable to the Manufacturing Output Index. It may be referred to as the 'Services PMI' but is not comparable with the headline Manufacturing PMI.

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Flash data are calculated from around 80-90% of total responses and are intended to provide an accurate early indication of the final data. Since flash data were first processed, the average differences between final and flash index values for the headline indices are:

Composite Output Index = 0.0 (absolute difference 0.4)

Services Business Activity Index = -0.1 (absolute difference 0.6)

Manufacturing PMI = 0.0 (absolute difference 0.3)

S&P Global do not revise underlying survey data after first publication, but seasonal adjustment factors may be revised from time to time as appropriate which will affect the seasonally adjusted data series. Historical data relating to the underlying (unadjusted) numbers, first published seasonally adjusted series and subsequently revised data are available to subscribers from S&P Global.

For further information on the PMI survey methodology, please contact economics@spglobal.com.

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